

VCU314557 Flores, Rafael vs. HR Mobile Services, Inc.

County: tulare

Division: Civil Law and Motion

Department: 2

Hearing date: 2026-07-07

Motion: Motion for Preliminary Approval of Class Action and PAGA Settlement

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Re: Flores, Rafael vs. HR Mobile Services, Inc.

Case No.: VCU314557

Date: July 7, 2026

Time: 8:30 A.M.

Dept. 2-The Honorable Bret D. Hillman

Motion: Motion for Preliminary Approval of Class Action and PAGA Settlement

Tentative Ruling: To continue this motion to August 4, 2026, 8:30 am, Dept. 2; To order counsel to provide a supplemental declaration, to be filed no later than five (5) court days prior to the hearing, which states the attorney rate and hours information to calculate the lodestar and provides information as to the presently incurred costs. To take the CMC off calendar. To discharge the OSC re: sanctions.

1. Sufficiency of Amount of Settlement (Net Estimated: \$32,500)

The gross settlement amount is \$150,000. Plaintiff estimates approximately 148 proposed Class Members, providing an estimated average payout of \$219.59 per member.

The Class Members consist of:

"All persons who Defendant employed in a non-exempt capacity in California during the Class Period (the time period from October 29, 2020 through the date the Court signs the Preliminary Approval Order, or an earlier date voluntarily selected by Defendant in the event the Escalator Clause in Section 7.1.2 of the Agreement is triggered)"

Plaintiff primarily alleged the following violations: (1) failure to provide meal periods in violation of Labor Code sections 226.7, 512, 558; (2) failure to provide rest periods in violation of Labor Code sections 226.7, 512, 558; (3) failure to pay all wages in violation of Labor Code sections 510, 1194, and 1194.2; (4) knowing and intentional failure to comply with itemized employee wage statement provisions in violation of Labor Code sections 226(a), (e), 1174(d); (5) failure to timely pay wages due at termination in violation of Labor Code sections 201-203; (6) failure to timely pay employees in violation of Labor Code section

204(a), (b); (7) failure to reimburse for business expenses in violation of Labor Code section 2802; (8) violation of Labor Code sections 212(a)(2) and 213 (payment by gift card); (9) failure to pay all accrued and vested vacation/PTO wages in violation of Labor Code section 227.3; (10) failure to pay for all hours worked, including overtime hours worked, in violation of Labor Code sections 210, 218; (11) violation of Business and Professions Code section 17200; and (12) penalties pursuant to Labor Code section 2699(f) for violations of the foregoing Labor Code provisions.

Plaintiff provides estimates of the maximum recovery for each of the asserted wage and hour claims and penalties with information showing how the estimates were calculated including the damages models utilized, noting the maximum potential liability, after factoring in probability of prevailing, to be \$319,322.78, inclusive of the estimated PAGA penalty recovery of \$34,000. (Declaration of Otkupman ¶138.) Therefore, the proposed settlement represents approximately 47% of this maximum potential recovery. (Declaration of Otkupman ¶138.)

After agreeing to participate in early mediation, Defendants informally produced time and pay records for Settlement Class members, key class data points, and other documents and information relevant to the claims alleged in advance of mediation. The parties reached the settlement after a full day mediation.

The Court finds the information provided in support of the gross settlement amount sufficient for the Court to preliminarily approve the gross settlement amount, as the settlement amount appears to be within the recognized range of reasonableness given the claims and defenses asserted in this case.

Plaintiff's deductions from the gross settlement of \$150,000 are proposed as follows:

Proposed Court Approved Attorney Fees (35%):

\$52,500

Proposed Attorney Costs (up to):

\$20,000

Proposed Enhancement Payment to Plaintiff :

\$10,000

Proposed Settlement Administrator Costs

\$10,000

Proposed Total PAGA Penalties

\$25,000

Proposed Net Settlement Amount

\$32,500

2. Class Notice

The settlement agreement provides no claim form will be required of class members to participate in distributions. Only those wishing to object or opt out must file notice with the settlement administrator.

Objections or opt out notices are to be made within 60 days. The Court regularly approves notice periods of 60 days or longer.

The class notice period is therefore approved.

With respect to the content of the Notice, the Court finds the Class Notice to be reasonable. It clearly provides to the class member an estimate of the settlement share the employee is to receive and provides adequate instructions for any class member to opt out of the settlement or to submit an objection.

3. Enhancement Award to Class Representative

The Court preliminarily approves Plaintiff Rafael Flores as Class Representative for settlement purposes. The proposed enhancement award to Plaintiff is \$10,000.

The Court has, in past cases, approved enhancement awards of \$5,000.00 routinely.

Enhancement payments "are fairly typical in class action cases." (Cellphone Termination Fee Cases (2010) 180 Cal.App.4th 1110, 1393.) Enhancement payments "are intended to compensate class representatives for work done on behalf of the class, to make up for financial or reputational risk undertaken in bringing the action, and, sometimes, to recognize their willingness to act as a private attorney general." (Rodriguez v. West Publishing Corp. (9th Cir. 2009) 563 F.3d 948, 958-959.) "[T]he rationale for making enhancement or incentive awards to named plaintiffs is that he or she should be compensated for the expense or risk he has incurred in conferring a benefit on other members of the class." (Clark v. American Residential Services LLC (2009) 175 Cal.App.4th 785, 806.)

Therefore, the Court will approve a \$5,000 enhancement.

4. Attorneys' Fees and Costs

Attorneys' fees of 35% of the gross settlement fund of \$150,000 or \$52,500 and costs not to exceed \$20,000 are sought by Plaintiff's counsel.

Although the Court recognizes the utilization of the percentage of the common fund methodology to award attorneys' fees, the Court requires a declaration from counsel that provides an estimate as to what the lodestar would be in this case. The ultimate goal of the Court is to award reasonable attorneys' fees irrespective of the method of calculation. As such, the court needs to know the estimate of the approximate lodestar supported by declarations for preliminary approval. Counsel should submit information as to the time spent on this action and the hourly rates of all counsel working on the case. Without such information, the Court declines to preliminarily approve the fees.

The Court also cannot preliminarily approve costs up to \$20,000.00 without a declaration which states the costs currently expended.

The Court, however, finds that Plaintiff's counsel are experienced class action attorneys through the declarations of counsel.

5. Claims Administrator

The Court preliminarily approves Apex Class Action Administration as the claims administrator for this class action based on prior experience with this settlement administrator in other class actions litigated in this Court and the estimate provided by Apex. The Court preliminarily approves administration costs not to exceed \$10,000.

6. Unclaimed Settlement Proceeds

The Court preliminarily approves the distribution of unclaimed settlement proceeds to Bethlehem Center, 506 N. Garden St., Visalia, CA 93291, in accordance with Code of Civil Procedure section 384.

7. Release

The Court finds the proposed release of claims reasonable under the circumstances.

8. LWDA Notice

Counsel's declaration indicates confirmation from the LWDA of receipt of proof of submission of the proposed settlement agreement. (Lab. Code, § 2699, subd. (l)(2).) (Declaration of Otkupman ¶39 – Exhibit D.)

9. Class Certification

Code of Civil Procedure section 382 permits certification "when the question is of a common or general interest, of many persons, or when the parties are numerous, and it is impracticable to bring them all before the court." (Code Civ. Proc. § 382.) The plaintiff bears the burden of demonstrating that class certification under section 382 is proper. (See *City of San Jose v. Superior Court* (1974) 12 Cal.3d 447, 460.) To do so, "[t]he party advocating class treatment must demonstrate the existence of an ascertainable and sufficiently numerous class, a well-defined community of interest, and substantial benefits from certification that render proceeding as a class superior to the alternatives." (*Brinker Restaurant Corp. v. Superior Court* (2012) 53 Cal.4th 1004, 1021.)

Here, the Motion and accompanying declaration of Otkupman sufficiently sets forth the basis for finding the class is numerous and ascertainable as 148 employees have been identified through Defendant's employment records. Additionally, common questions of law and fact predominate within the individual causes of action based on class wide policies and procedures of Defendant. Further, the class representative, through their declaration, indicates they will adequately and fairly represent the Class Members and will not place their interests above any Class Member. The Class Representative was employed by Defendant during the relevant time period and thus worked under the same policies and procedures as the Class Members.

Based on the above, the motion to preliminarily approve the settlement is continued to August 4, 2026, 8:30 am, Dept. 2. Counsel is directed to provide a supplemental declaration, to be filed no later than five (5) court days prior to the hearing, which provides attorney rate and hours information to calculate the lodestar and the presently incurred costs.

If no one requests oral argument, under Code of Civil Procedure section 1019.5(a) and California Rules of Court, rule 3.1312(a), no further written order is necessary. The minute order adopting this tentative ruling will become the order of the court and service by the clerk will constitute notice of the order. Court reporters are usually not available for law and motion matters in the civil division. The parties and counsel must provide their own reporter if they want a transcript of the proceedings.